TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Marketing mix: promotion

Strand 2: Enterprise
2.8 The marketing mix: promotion



A revision lesson. Pupils run a car dealership in firms of four and revise marketing mix: promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Profit from the ad

Round 1

An advert for these cars.

Profit from the advert? Minus allowed.

The advert costs	**€1,500**
Extra sales from it	**5 cars**
Margin per car	**€1,400**

ANSWER

€5,500

5 × €1,400 − €1,500 = €5,500

Why: 5 extra cars bring €7,000 for a €1,500 advert.

2 Was the ad worth it

Round 1

You ran a local radio advert last month.

Which two show it was worth the cost?

A The advert won an award
B It cost less than last year's
C More people heard it
D Extra profit above its cost
E Sales it brought from new buyers

ANSWER

✓ Extra profit above its cost
✓ Sales it brought from new buyers

Why: An advert pays when its extra sales earn more than it cost.

3 Rank cost per sale

Round 2

Three adverts: what each cost, and the sales it brought.

Order by cost per sale, cheapest first?

A Paper: €600, 4 sales
B Radio: €1,500, 6 sales
C Social: €800, 8 sales

ANSWER

1. Social: €800, 8 sales
2. Paper: €600, 4 sales
3. Radio: €1,500, 6 sales

Why: Cost ÷ sales: €100, €150, €250. The cheapest advert is not the best value.

Topic tasks

4 More profitable ad

Round 2

Pick one of two adverts.

Profit from the more profitable advert?

Radio advert, 4 extra cars	**€3,000**
Social advert, 5 extra cars	**€1,500**
Margin per car	**€1,900**

ANSWER

€8,000

Radio €4,600, social €8,000: €8,000

Why: The cheaper advert is not always the better one.

5 TV or trade paper

Round 3

A TV advert reaches 50,000 people for €2,000. A trade paper reaches 5,000 local car buyers for €800.

Which advert should you pick, and why?

A The TV advert

B The trade paper

ANSWER

✔ **The trade paper**

Why: The paper reaches the people who buy from you, at less cost.

6 Which advert pays

Round 3

Pick one of two adverts.

Profit from the more profitable advert?

Radio advert, 24 enquiries	**€1,250**
Social advert, 20 enquiries	**€2,250**
Enquiries that buy	**NaN el**
Margin per car	**€1,800**

ANSWER

€9,550

Radio 6 × €1,800 − €1,250 = €9,550; social €6,750

Why: Enquiries are not sales: count the cars that sell.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Promotion and campaigns”: the 6 come from these 10 questions.

1 Paid search costs €2,500 and adds 20% to your next 2 sales, up to €2,000 each. A customer pays €9,000. What does the campaign add to that sale?

✔ **€1,800**

2 Paid search adds 20% to the next 2 sales, up to €2,000 each. Your two sales are €12,000 and €7,000. What is the total bonus?

✔ **€3,400**

3 Social video costs €2,000 and adds 15% to the next 2 sales, up to €1,500 each. Your sales are €8,000 and €6,000. Did the campaign pay for itself?

✔ **Yes: bonuses of €1,200 and €900 make €2,100, €100 more than the cost**

4 You book Local radio (+15% on the next 3 sales) but sell nothing this round. What does your firm get from the campaign?

✔ **Nothing: the bonus is paid on sales, and the cost is already spent**

5 Which statement about the three campaigns is right?

✔ **A campaign raises what your next sales pay, up to a cap per sale; it does not bring extra customers by itself**

6 You expect two sales of about €5,000 each this round. Paid search: €2,500, +20% on 2 sales, cap €2,000. Social video: €2,000, +15% on 2 sales, cap €1,500. Which leaves more after its cost?

✔ **Neither pays: Paid search earns €2,000 for €2,500, Social video €1,500 for €2,000**

7 Your campaign's two bonus sales are used up and the round has five minutes left. What should the Sales & Marketing Director do about marketing?

✔ **Nothing more this round: a second campaign is a new cost, and only one runs a round**

8 Local radio cost €3,000 and added €600, €450 and €750 to three sales. What did the campaign do to the firm's profit?

✔ **It lowered profit by €1,200: €1,800 earned against €3,000 spent**

9 Paid search costs €2,500 and adds 20% to two sales. Roughly what must the two sales add up to for the campaign to break even?

✔ **€12,500**

10 Local radio costs €3,000, +15% on the next 3 sales, cap €1,500 each. Your sales are €11,000, €9,000 and €4,000. What is the bonus, and the profit on the campaign?

✔ **Bonus €3,450; profit €450**